

COLLEGE ACCOUNTING (105)

—Post-secondary—

STATE – 2019

Multiple Choice:

Multiple Choice (15 @ 2 points each) _____ (30 points)

Short-Answer (10 @ 3 points each) _____ (30 points)

Problems:

Problem 1: Perpetual Inventory _____ (46 points)

Problem 2: Journal Entries _____ (37 points)

Problem 3: Distribution of Income _____ (33 points)

TOTAL POINTS _____ ***(176 points)***

Failure to adhere to any of the following rules will result in disqualification:

- 1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.**
- 2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.**
- 3. Electronic devices will be monitored according to ACT standards.**

No more than ten (10) minutes orientation
No more than ninety (90) minutes testing time
No more than ten (10) minutes wrap-up

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General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts. The multiple choice should be completed first, then the accounting problems may be completed in any order.

Your name and/or school name should NOT appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

GAAP

Percents rounded to the tenth percent (Ex: 22.8%)

Perpetual Inventory

Round all dollar amounts to the nearest cent

MULTIPLE CHOICE

Identify the letter of the choice that best completes the statement or answers the question.

1. Which of the following are types of businesses?
 - a. Service
 - b. Merchandising
 - c. Manufacturing
 - d. All of the above
2. What are the *four* types of inventory costing methods?
 - a. Average Cost, FIFO, LIFO, Specific Identification
 - b. Average Cost, FIFO, LIFO, Double Declining
 - c. FIFO, LIFO, Double Declining, Sum of the Years Digits
 - d. FIFO, LIFO, Straight Line, Units of Production
3. How many capital accounts will there be in a partnership with four (4) partners?
 - a. One
 - b. Two
 - c. Three
 - d. Four
4. Which of the following is *not* a characteristic of a corporation?
 - a. The earnings may be subject to double taxation.
 - b. The owners are called Stockholders.
 - c. Corporations are required to pay dividends.
 - d. The owners of a corporation have limited liability for the debts of the business.
5. In a perpetual inventory system, cost of merchandise (goods) sold is _____.
 - a. calculated in the income statement
 - b. recorded when the item is sold
 - c. not recorded
 - d. calculated in a separate worksheet
6. The business entity concept tells us to _____.
 - a. record our transactions at what we paid for them
 - b. get the best evidence of value
 - c. separate out the business transactions from the owner's transactions
 - d. record all business transactions

7. A merchandising business using the perpetual inventory system would record a \$1,000 sale on account with a cost of \$375 as follows:

a.	Sales	\$1,000	
	Accounts Receivable		\$1,000
	Cost of Merchandise Sold	375	
	Merchandise Inventory		375
b.	Accounts Receivable	1,000	
	Sales		1,000
	Cost of Merchandise Sold	375	
	Merchandise Inventory		375
c.	Sales	1,000	
	Accounts Receivable		1,000
	Merchandise Inventory	375	
	Cost of Merchandise Sold		375
d.	Accounts Receivable	1,000	
	Sales		1,000

8. An invoice dated March 25, 2019, for \$1,000 had terms of 2/10, net 30. What amount should be paid if paid on April 5?

- a. \$900
- b. \$980
- c. \$1,000
- d. \$1,020

9. The entry to record the monthly payroll would include a credit to what account?

- a. Social Security Payable
- b. Wages Expense
- c. Accounts Payable
- d. Employer Taxes Payable

10. Which of the following are four different methods used to calculate depreciation?

- a. Straight-Line, Units of Production, Declining Balance, Specific Identification
- b. Straight-Line, Units of Production, Declining Balance, Sum-of-the-Years Digits
- c. Straight-Line, Declining Balance, Specific Identification, Sum-of-the Years Digits
- d. Straight-Line, Units of Production, Declining Balance, Average Cost

11. Which payroll form is filled out by the employee at the beginning of employment to establish withholding allowances?

- a. I – 9
- b. W - 2
- c. W – 4
- d. 1099

12. Who pays FUTA and SUTA?
 - a. The employee
 - b. The employer
 - c. The IRS
 - d. None of the above

13. Which financial statement tells Net Income or Net Loss?
 - a. Income Statement
 - b. Statement of Owner's Equity
 - c. Balance Sheet
 - d. Statement of Cash Flows

14. In the perpetual inventory system, you need to take a physical inventory at least once a year. If there is \$1,500 less in the inventory count than the balance in Merchandise Inventory account, what entry should be recorded?
 - a.

Merchandise Inventory	\$1,500	
Cost of Merchandise Sold		\$1,500
 - b.

Merchandise Expense	1,500	
Merchandise Inventory		1,500
 - c.

Merchandise Expense	1,500	
Cost of Merchandise Sold		1,500
 - d.

Cost of Merchandise Sold	1,500	
Merchandise Inventory		1,500

15. Which is the adjusting entry to record sales on account of \$22,700 that have *not* been billed at the end of the period?
 - a.

Sales	22,700	
Accounts Receivable		22,700
 - b.

Accounts Receivable	22,700	
Sales		22,700
 - c.

Unearned Revenue	22,700	
Sales		22,700
 - d.

Sales	22,700	
Unearned Revenue		22,700

Short-Answer - Fill in the blanks with a word/phrase from the word bank. *Not* all words/phrases will be used.

GAAP	Allowance	Direct Write-off	External	FIFO
Double-Declining Balance	Internal	LIFO	Maturity Value	Periodic
Administrative	Perpetual	Selling	Sarbanes Oxley (SOX)	Straight-line
Unearned Revenue	Accounts Receivable	Advertising	Wages	Rent

- The _____ inventory system records the sale and cost for each unit sold at the time of sale.
- _____ and _____ are the categories in the operating expenses section of the income statement.
- The _____ inventory method *will* result in the lowest cost of merchandise sold in a period of rising prices.
- _____ controls are necessary to safeguard the assets, ensure accurate information, ensure compliance with laws and regulations.
- The _____ account is used to amounts received from customers in advance.
- This congressional act, _____, was enacted to restore the public's confidence and trust in the financial statements.
- The _____ is principal plus interest on a note.
- _____ method of accounting for uncollectibles estimates the amount of Bad Debts Expense at the end of each period.
- The method of depreciation that is *most* often used _____.

Problem 2 (37 points) Record the following entries in general journal form. The company uses the perpetual inventory system and records adjusting entries at the end of the month. A journal is provided on the next two pages.

- Feb. 2 The owner, JJ Holtz, invests \$20,000 cash into the business.
- 5 Sold \$28,000 of merchandise on account with a cost of \$10,000.
- 7 Paid \$50 cash for postage.
- 9 Sold \$2,000 of merchandise for cash with a cost of \$750.
- 12 Purchased equipment for \$55,000, paying cash of \$5,000 and issuing a note for the remainder.
- 15 Rented part of our warehouse to another company. Received \$6,000 representing 3 months worth of rent.
- 18 Received \$19,800 cash from customers on account.
- 24 Paid utility bill for \$1,500.
- 28 Recorded payroll for the month. All wages are considered Wages Expense.

Name	Gross Pay	Social Security	Medicare	Federal Income Tax	Medical Insurance	Net Pay
Employee A	\$ 1,200.00	\$ 74.40	\$ 19.80	\$ 180.00	\$ 30.00	\$ 895.80
Employee B	1,800.00	111.60	26.10	215.00	60.00	1,387.30
Employee C	<u>2,900.00</u>	<u>179.80</u>	<u>42.05</u>	<u>358.15</u>	<u>60.00</u>	<u>2,260.00</u>
Totals	<u>\$ 5,900.00</u>	<u>\$ 365.80</u>	<u>\$ 87.95</u>	<u>\$ 753.15</u>	<u>\$ 150.00</u>	<u>\$ 4,543.10</u>

- 28 Record the following adjusting entries:
- Fees earned but not billed were \$6,200.
 - Supplies used were \$440.
 - Warehouse rent of \$2,000 was earned.
 - Insurance used for the period is \$150.
 - Depreciation on equipment totaled \$215.

General Journal

Page 33[illegible]

General Journal

Page 34[illegible]

Problem 3 (33 points) - Under each of the following assumptions, distribute Net Income (Net Loss) to the partners.

- A. Net income is \$40,000. Salary allowance for Conrad is \$10,000 and Nuygen is \$20,000; the remaining is split equally.

	Conrad	Nuygen	Total
Salary Allowance			
Remaining			
Total			

- B. Net Income is \$40,000. Salary allowance for Conrad is \$10,000 and Nuygen is \$20,000, 10% interest on beginning capital balance, and the remaining split equally. Beginning capital for Conrad is \$50,000 and Nuygen is \$120,000.

	Conrad	Nuygen	Total
Salary Allowance			
10% on Capital			
Remaining			
Total			

- C. Net Loss is (\$20,000). Salary Allowance for Conrad is \$10,000 and Nuygen is \$20,000, 10% Interest on beginning capital balance, and the remaining split equally. Beginning capital for Conrad is \$50,000 and Nuygen is \$120,000.

	Conrad	Nuygen	Total
Salary Allowance			
10% Capital			
Remaining			
Total			